

PHOTOS BY MANEESH AGNIHOTRI



74 | UPHILL BATTLE China leads in leather exports globally not because of cheap labour, but because of skilled labour

countries is also a challenge. For example, Homera imports ox leather and other good quality leather for specific products from Europe. “But ox leather is not a notified product for import at ICD (inland container depot) Kanpur, thus that raw leather reaches Nhava Sheva, from where it comes to us via trucks or trains,” says Ashraf Rizwan. “Because the raw material is not notified at ICD, we have to pay \$3 extra per hide for transportation from Nhava Sheva to Kanpur. One container can have 700-800 hides, so container cost increases by \$2,400 per container.” Asad Rizwan adds that container charges for Chile have risen from \$6,000 to \$24,000. “Similarly, for the US, prices have risen by four times, from \$3,000 to \$12,000,” he says.

Jalan says logistics and transportation should be the government’s focus for boosting exports: “The government should focus

more on improving rail, road, air connectivity and air cargo handling. I think mega logistics parks could be game changers for an industry like ours.”

INDUSTRY FOLKS POINT OUT that China leads in leather exports globally not because of cheap labour, but because of skilled labour, and also scale. In India, both are in short supply. In Kanpur, there is only one training institute for upskilling, which is just not enough for the city’s needs, says Jalan, who is also Director of AFPL Global. “We should have a world class training institute with international trainers for bringing in quality and for our products to be competitive in the global market.” Jalan further adds that India needs to invest in design capabilities to succeed in overseas markets: “As of now, we are doing contract

manufacturing for the world. We don’t have our own brand, and we are copying different designs. The need of the hour is to have our own designs, and for that the government should invest in increasing designing capabilities.”

On the supply side, the industry is dependent on other countries for accessories and components—lining from Taiwan, chemicals and raw hides from Europe, toe caps and insoles from China, and adhesives from Italy and Germany. Any disruption in the supply chain has a big impact on the overall production of shoes and leather products. Jalan says, “We import trimmings and embellishments from China because they are better in quality and cheaper than in India. We never invested in plugging these gaps, and never invested in consolidating the components industry. That is why we are in the middle of such a crisis.”